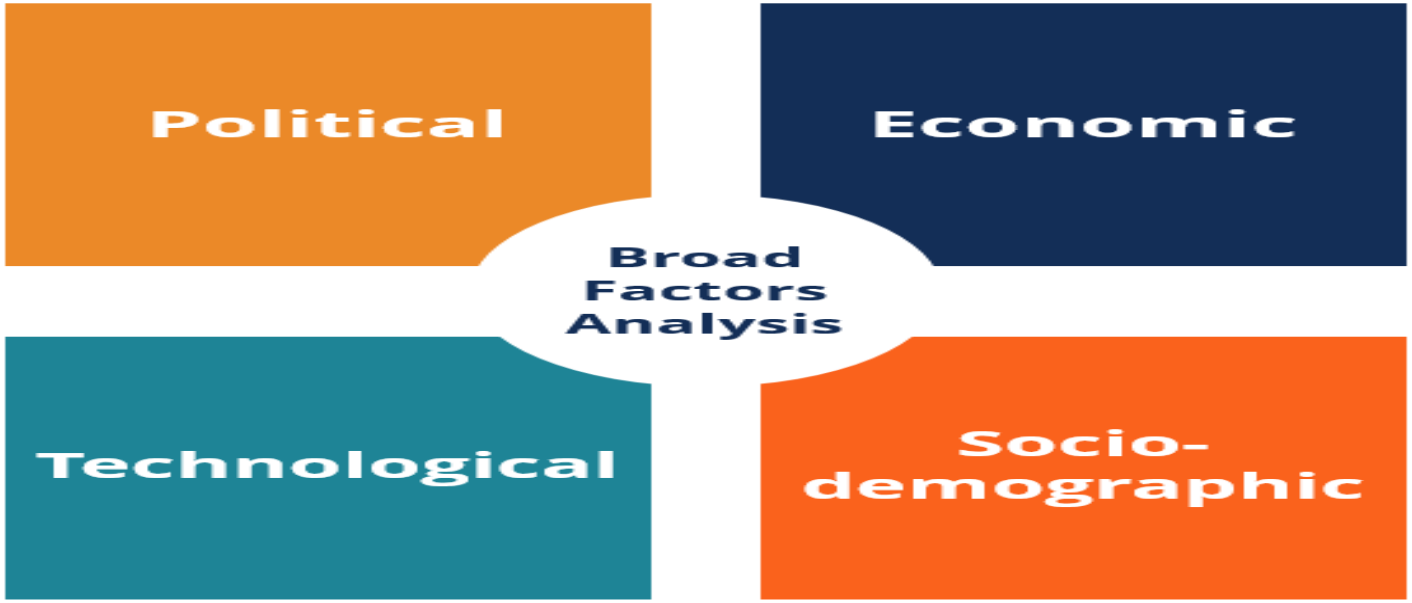
Economic, Social and Technological. PE
the external environment.

EXTERNAL ENVIRONMENT



Strategic thinking with its external environment

- Macro environment refers to external factors that are not directly controlled by the company, affect its operation. **They can be divided into political-legal, economic, socio-cultural, technological, environmental and legal factors.** Examples of the impact of the macro environment include changes in data protection legislation or global trends in automation.
- Understanding the external environment enables companies to respond to change in a strategic manner. This allows them not only to avoid threats, but also to take advantage of emerging opportunities, such as new markets or technological developments. Companies that effectively analyze the macro environment can better anticipate future changes and adapt their operations.
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PESTEL ANALYSIS

- **Macro environment analysis methods**
- PEST analysis allows for the assessment of four key areas of the macro environment:
- **Political**
- It takes into account political stability, tax policy, trade regulations or foreign policy. An example is the impact of Brexit on companies operating in the UK market.
- **Economic**
- Analysis of factors such as inflation, interest rates, unemployment levels or GDP dynamics. These factors determine the growth potential in a given market.
- **Social**
- It includes demographic changes, consumer preferences or cultural trends. For example, an aging population is affecting the development of the health industry.

PESTEL

- **Technology**
- He points to innovations and developments in technology that can change the way business is done. The development of e-commerce and digital platforms is an example of the dynamic impact of technology on commerce.
- An extension of this method is PESTEL, which adds two additional elements:
- **Eco-friendly**
- It takes into account the impact of environmental regulations, climate change or growing sustainability requirements. Companies must adapt to new requirements, such as reducing CO2 emissions.
- **Legal**
- He analyzes laws, data protection regulations or labor laws. For example, the introduction of GDPR in the EU has changed the way companies around the world process data.

SWOT ANALYSIS

SWOT ANALYSIS a tool that identifies an organization's strengths and weaknesses in the context of its opportunities and threats from the macro environment. In terms of macro environment analysis, SWOT provides an understanding of how external factors affect a company's internal capabilities. For example:

- **Strengths**: a technological advantage that allows rapid adaptation to changes in the macro-environment.
- **Weaknesses**: limited financial resources, which can make it difficult to respond to changing regulations.
- **Opportunities**: development of new markets as a result of demographic changes.
- **Threats**: increase in production costs due to inflation.

SWOT combined with PESTEL or scenario analysis provides a more complete picture of the business environment and allows the company to better adapt its strategy to dynamic market conditions.

PESTEL ANALYSI

Political and legal factors
Government policies, government stability and regulations affect how companies operate. For example, customs policy affects the cost of exports and imports, and changes in labor laws can affect employment patterns.
Economic factors
Factors such as inflation, changes in exchange rates and the health of the economy have a direct impact on companies' operations. Rising interest rates can increase the cost of borrowing, affecting investment.
Socio-cultural factors
Changing consumer preferences and societal values are crucial to marketing strategies. For example, the growing popularity of healthy lifestyles is creating opportunities for organic food producers.
Technological factors
Technological advances create new opportunities, such as automation of processes, development of e-commerce or application of artificial intelligence. At the same time, it requires investment in new tools and competencies.

Elements of macro environment analysis

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Ecological factors
Companies must respond to climate change and environmental regulations. Environmental responsibility is becoming a key element of brand image.
Legal factors
They include product compliance regulations, consumer rights and data protection. Compliance with regulations is key to avoiding financial penalties and maintaining reputation.
Each of the aforementioned macro-environmental factors affects companies' operations in different ways, requiring constant monitoring and adjustment of strategies. Understanding them allows companies to more effectively anticipate challenges and take advantage of emerging opportunities in the external environment.

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Some key questions to ask

- What happens in the industry?
- How are consumers behaviour changing ?
- Are they any new technologies on the horizon?
- What are the regulatory trends?

What is Industry Analysis?

- **What is Industry Analysis?**
- Industry analysis is a market assessment tool used by businesses and analysts to understand the competitive dynamics of an industry. It helps them get a sense of what is happening in an industry, e.g., demand-supply statistics, degree of competition within the industry, state of competition of the industry with other emerging industries, future prospects of the industry taking into account technological changes, credit system within the industry, and the influence of external factors on the industry.

Three most common tools used for industry analysis

- There are three commonly used and important methods of performing industry analysis. The three methods are:
- Competitive Forces Model (Porter's 5 Forces)
- Broad Factors Analysis (PEST Analysis)
- SWOT Analysis

According to Porter, analysis of the five forces

SWOT ANALYSIS (Strengths , weaknesses, opportunities and threats)

Strengths Characteristics of a business which give it advantages over its competitors	**Weaknesses** Characteristics of a business which make it disadvantageous relative to competitors
Opportunities Elements in a company's external environment that allow it to formulate and implement strategies to increase profitability	**Threats** Elements in the external environment that could endanger the integrity and profitability of the business

2. SWOT Analysis

- **SWOT Analysis** is a classic tool that helps businesses identify their internal **Strengths** and **Weaknesses**, as well as external **Opportunities** and **Threats**. This framework provides a comprehensive overview of your company's current position and potential future scenarios.
- **Practical Example:**
- **Company:** XYZ Tech, a startup specializing in innovative software solutions.
- **Strengths:** XYZ Tech has a highly skilled development team and proprietary software that offers unique features not available in competing products.
- **Weaknesses:** The company lacks a strong marketing strategy and has limited brand recognition.
- **Opportunities:** There is a growing demand for cloud-based solutions in their target market, and potential partnerships with larger firms could expand their reach.
- **Threats:** Established competitors are investing heavily in similar technology, and there is a risk of new entrants copying their innovations.
- By conducting a SWOT analysis, XYZ Tech can prioritize developing a robust marketing plan to leverage their strengths and opportunities while addressing their weaknesses and mitigating threats.

understanding SWOT Analysis

- Understanding SWOT Analysis in the context of competitor search is vital for gaining insights into the strengths, weaknesses, opportunities, and threats of your competitors. By identifying their strengths, you can learn from their successes and apply similar strategies to enhance your own business.
- Additionally, recognizing their weaknesses allows you to capitalize on their vulnerabilities. Opportunities and threats analysis helps identify external factors that may positively or negatively impact your competitive position.
- For example, identifying emerging market trends can present new opportunities or potential shifts in consumer preferences can threaten your market share. SWOT analysis provides a structured framework for competitor analysis, enabling you to make informed strategic decisions based on your findings.

What is Market Positioning

Market Positioning refers to the ability to influence consumer perception regarding a brand or product relative to competitors. The objective of market positioning is to establish the image or identity of a brand or product so that consumers perceive it in a certain way.

For example:

A handbag maker may position itself as a luxury status symbol

A TV maker may position its TV as the most innovative and cutting-edge

A fast-food restaurant chain may position itself as the provider of cheap meals

Types of Positioning Strategies

- There are several types of positioning strategies. A few examples are positioning by:
- **Product attributes and benefits:** Associating your brand/product with certain characteristics or with certain beneficial value
- **product rice:** Associating your brand/product with competitive pricing
- **Product quality:** Associating your brand/product with high quality
- **Product use and application:** Associating your brand/product with a specific use
- **Competitors:** Making consumers think that your brand/product is better than that of your competitors
- **A Perceptual Map in Market Positioning**
- A perceptual map is used to show consumer perception of certain brands. The map allows you to identify how competitors are positioned relative to you and to identify opportunities in the marketplace.
- An example of consumers perception of price and quality of brands in the automobile industry

e of consumers perception of price and quality of brands in the automobile industry are mapped below.

An example of consumers perception of price and quality of brands in the automobile industry

positioning

- Create a positioning statement that will serve to identify your business and how you want the brand to be perceived by consumers.
- For example, the positioning statement of Volvo: “For upscale American families, Volvo is the family automobile that offers maximum safety.”
- **1. Determine company uniqueness by comparing to competitors**
- Compare and contrast differences between your company and competitors to identify opportunities. Focus on your strengths and how they can exploit these opportunities.
- **2. Identify current market position**
- Identify your existing market position and how the new positioning will be beneficial in setting you apart from competitors.

positioning

- **3. Competitor positioning analysis**
- Identify the conditions of the marketplace and the amount of influence each competitor can have on each other.
- **4. Develop a positioning strategy**
- Through the preceding steps, you should achieve an understanding of what your company is, how your company is different from competitors, the conditions of the marketplace, opportunities in the marketplace, and how your company can position itself.
- **What is Market Repositioning?**

positioning

- **How to Create an Effective Market Positioning Strategy?**
- **What is Market Repositioning?**
- Market repositioning is when a company changes its existing brand or product status in the marketplace. Repositioning is usually done due to declining performance or major shifts in the environment.
- Many companies, instead of repositioning, choose to launch a new product or brand because of the high cost and effort required to successfully reposition a brand or product.
- **Example of Market Repositioning**

Example of Market Repositioning

- Coca-Cola's repositioning of Mother Energy Drinks:
- The Coca-Cola Company launched Mother Energy Drinks in 2006 into the Australian market. The launch campaign was professionally executed, and Coca-Cola was able to leverage its distribution channels to get the product into major retailers. However, the taste of Mother Energy Drink was subpar and repeat purchases were very low.
- Coca-Cola was faced with a decision: to improve and reposition the product or withdraw it and introduce a new brand and product. The company ultimately decided to reposition the product due to already high brand awareness.
- The biggest challenge faced by Coca-Cola was to persuade consumers to try the product again. The company changed the packaging, increased the size of the can, and improved the taste of the product. The relaunch of the product featured a new phrase – "New Mother, tastes nothing like the old one."
- Ultimately, Coca-Cola was able to successfully reposition Mother Energy Drinks and the brand today competes with the two leading energy drinks in the market – V and Red Bull

Reposition continuation

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Knowing the market environment is the key to success

- Macro environment analysis is an essential tool for any company wishing to compete effectively in the market. It allows you to identify opportunities and threats and adapt your strategy to changing conditions. **Although it requires time and resources, its value to the long-term success of the company is undeniable.**